RISING FOOD SUBSIDY

Provision of minimum nutritional support to the poor through subsidised foodgrains and ensuring price stability in different states are the ***twin objectives*** of the food security system. In fulfilling its obligation towards distributive justice, the government incurs food subsidy[31]. While the economic cost of wheat and rice has continuously gone up, the issue price has been kept unchanged since 1 July, 2002. The government, therefore, continues to provide large and growing amounts of subsidy on foodgrains for distribution under the TPDS, other nutrition-based welfare schemes, and open market operations. The food subsidy expenditure[31] has increased substantially in the past few years putting severe strain on the public exchequer from a total of Rs. 17,494 crore in 2001-02 it has gone to the level of Rs. 62,929 crore by 2010-11. The fiscal outgo is expected to be more once the proposed National Food Security Act is implemented.

NATIONAL FOOD SECURITY BILL

The National Food Security Bill was introduced in the Lok Sabha on 22 December, 2011. As per the provisions of the Bill, it:

- Is proposed to provide 7 kg. of foodgrains per person per month belonging to priority households at prices not exceeding Rs. 3 per kg of rice, Rs. 2 per kg of wheat, and Rs. 1 per kg of coarse grains and to general households not less than 3 kg of foodgrains per person per month at prices not exceeding 50 per cent of the MSP for wheat and coarse grains and derived MSP for rice.
- It will benefit up to 75 per cent of rural population (with at least 46 per cent belonging to priority households) and up to 50 per cent of urban population (with at least 28 per cent belonging to priority households), besides providing nutritional support to women and children and meals to special groups such as destitute and homeless, emergency and disaster affected, and persons living in starvation.